



Jahangirnagar University

An assignment on

Economic Ideas of Hebrews and Greeks

Submitted To: Kawsar Hossain Sojib

Lecturer

Dept. of Economics

Jahangirnagar University

Submitted By:

Saika Labeba Sifat – 396 (Leader)

Nusrat Jahan – 417

Mst. Sayeeda Akter – 418

Hasan Md. Mubaswir Fahim – 427

Md. Mynul Islam Khan – 455

Md. Rasel Rana – 2566

Economic Ideas of Hebrews

Abstract:

Hebrew Bible offers alternative Economic heaven for theocratic society. Here, we will discuss about various economic concepts and themes found in the Hebrew Bible. These economic concepts include Taxation, Property Rights, Labor Market, Social Policy, Interest, Agriculture, Sabbath, Jubilee Year, Just Price etc. Most economic issues of the Bible are found in texts of Torah, also known as five books of Moses. Economics of the Torah is based on God's resources which are enough for all true needs of His People.

Introduction:

Ancient Hebrew texts, mainly the Torah offers an alternative ideology and system. Here in Biblical literature, these texts of Torah are studied from the viewpoint of economic theory and concepts. Some quotes are made from the Tanach, also known as Old Testament where division of labor, market, exchange have been talked about. Most economic ideas of Bible are found in Torah.

The beginning of the science of economics and economic institutions are often traced back to the Hebrew and Jewish times. The group discussed in the Old Testament have mentioned about some characteristics of modern capitalism and private property. Hebrews, the ancient civilization, were lived back to 2500 BCE. Has been regarded as the root of Western civilization by some scholars.

Hebrew's economic philosophy was simple. Their society was also a simple one. In that time, economic problems were not studied separately. Rather, they believed that Economics, Politics, Ethics and Philosophy were interconnected. But they gave greater importance in religion and ethics; priests controlled economic life. They gave importance in Agriculture.

Characteristics of Hebrew's economic ideas:

1. Taxation:

Taxes didn't exist in Hebrew Economy. Labor service was utilized for bridge construction, roads and other public services. Toll taxes were collected on that period of time. Toll tax known as a tribute realized from males for maintenance of temples. Hebrew laws helped the dependents, orphans, widows. The corner portion of fields and vineyards were for the poor. The proportional tax incident was brought by the land owners.

2. Notion of Private Property:

Land and Surface would not be public property hereafter. It should be owned by individuals who would allow those properties to be cultivated by Labors. After the death of the owner, his elder son or daughter would be heir of that very property. If there was none so, then their relatives would claim that property.

3. Labor Market:

The basic task given to man is to labor. After the man's transgression to the sin in the garden of Eden, men were given a heavy load of work. Wage payment period was legislated to be one day. The rule significantly decreased the needs for financial market and institutions. The Talmud largens this law to all kinds of payments including rental fees. Torah gives Jewish to sell themselves as slaves to others but not losing status in civil and religious community. King Solomon used a large number of workers while building the Jerusalem temple but even then, they used to work in shifts.

4. Social Policy:

Torah admits that there will be poor people in every nation. It's not any ideal situation but the aim is to reduce the number of it. The rule was that higher form of charity is to step in with help to prevent someone from becoming poor. The responsibilities to care poor is geographically defined as helping to the nearest poor. Help includes food but not necessarily bringing to his households.

5. Interest:

The Mosaic Law had banned taking interest or usury. Hebrew prophets did not use that term, though. The law was applied only on the Hebrews'. Lending money at interest were allowed only to strangers. Law suggests that in interpersonal loan interest would be zero. Hebrews were not ethically allowed to collect interest from the poor because poor would lend money for consumption purposes. Solomonian era made a slight change into it. On that time, low rate of interest was allowed. This idea was more or less similar to ancient hindus.

6. Agriculture:

Hebrews preferred job was agriculture. There was a maxim "Although trading gives greater profit, there may be a loss in a moment. Therefore, never hesitate to buy land". This indicates how agriculture had become the supreme occupation. On that time, the purpose of lawgivers was to fix people in agriculture which recons to be a settled one.

7. Sabbath:

One of the cornerstones of Hebrew Economic thought was Sabbath. Sabbath suggested their weekly day of relaxation, rest and good living. The masters of the house and their families enjoyed the day along with the servants and the slaves. According to Spiegel "the institution of the weekend was a social invention having no parallel in the civilization of Greek, Rome or other ancient culture".

8. Jubilee Year:

There was a very peculiar institution of Seventh and Jubilee year among the Hebrews. The Hebrews left their land fallow in the seventh year after cultivating it for six years. This was done with the object of preserving the fertility of the soil. The slaves serving for six years were freed in the seventh year. In this year all debts should be cancelled.

The Jubilee year was another peculiar institution of the Hebrews. The Jubilee year was the fiftieth year. According to this provision the land sold to someone was to be returned to its owners in the 50th year. In those days land was the main form of wealth.

They tried to prevent concentration of wealth and also the acquisition of land of small holders by owners of large estates. By the institution of Seventh and Jubilee year the Hebrews desired to prevent inequality in wealth.

9. Just Price:

Both Hebrews and Hindus exercised great care in formulating laws against false weights and measures and adulteration of articles of consumption. These were strictly prohibited by the Hebrews. Monopoly and speculation were even more strictly prohibited. Raising market prices for speculative means was disapproved. There were also ceiling on the profits of retail shopkeepers which could not exceed the limit of $16 \frac{2}{3}$ percent. The export of food grains was also prohibited and in times of scarcity and famine, hoarding of food grains was not permitted. Thus, the concept of just price included correct weight, competitive price and reasonable rate of profit.

10. Money:

The Hebrews seemed to understand the functions of money. In form of bullion, money was mainly used. The bullion form was considered as those which are moveable and also recon as wealth such as Gold, Silver etc. In Hebrew time period, there was not any stamped money or so.

11. Trade:

In Hebrew period, nothing but surplus corn used to be sold in the market. The Hebrew women would be categorized as craft-women. They often used to spin wools and flax. During King Solomon reign, Commerce had been flourished. He successfully voyaged the distance land such as India.

12. Ownership of Land Property:

The fundamental Biblical principle is God is the sole owner of Universe. As it stands, it is explicitly stated that God gives land for Israel. After invading & depopulating the promised land "Eretz Israel", the land is divided between the Israelis.

Division of land done by using a lot rose additional problems. The division was said to be equalitarian but the use would be on what measurement? The soil

wasn't to be homogenous in relation to productivity. The simplest alternative was to distribute equal acreage per capita, if the soil had been measured in physical units. Nevertheless, it was easy to assume that there existed some more sophisticated method for measurement as the agricultural soil wasn't apparently homogenous for production purposes. The decisions concerning the measurement and valuation was to be done according the Mosaic Law.

The interpretation of the law, thus establishing "de facto" a Theocratic rule, was given to priests, that is to sons of Levi. It didn't specify from which group of people those judges and officers are to be chosen from. Nevertheless, it might be reasonable to assume that they should be Levites. Levitical courts were originally supervising weights and measures, but in the middle of the third century the rabbinical courts were granted also control over monetary issues and private property.

13. Lending:

The zero-interest rule wasn't aimed to lead the situation where lending wasn't practiced. The Torah gave a strong order to support lending money to the people who were poor without taking any interest.

Lending, also in nationwide level, had been seen as negativity which might affected nation's independence. An ideal nation economic situation means do foreign debt, but lending other nations and reigning them. There tends to be several more orders for rejecting pledge if the borrower is poor, even it's not allowed to take those pledges which may interrupt poor's continuation of work and earning according to their ability.

Conclusion:

As a whole, Hebrew had a simple enough economic life. The priest used to dominate them. Religion, ethics, politics, law, philosophy and economic ideas

bound them together. Religion and ethics influenced their whole educational system.

Economics of Torah suggests us that the “pie” concept very deeply in which “pie” belongs to supreme identity God. If society and economic practice remain based on strict and absolute moral based and institution like Hebrews, the gross utility of the consumers will be maximized and poverty will be minimized. There will be no need of accumulate wealth. According to Eric Roll,” the views of Hebrews may appear extremely primitive to modern economics, their power to influence men’s minds isn’t necessarily inferior to that of many refined and scientific theories.

Economic Ideas of Greek

Introduction:

In the study of the history of economic thought, there has been a tendency to take the meaning of the term “economics” for granted. As a consequence, when considering economic thought in ancient Greece, we turn to what the Greeks said about wealth, about money or about interest. This seems relatively straightforward.

The term “economics” has a long and varied history; the following is a brief attempt to turn things on their head and consider the history of economics not from the perspective of the modern notion of economics, but from the perspective of its ancient Greek ancestor and to begin to indicate the non-obvious ways in which the Greek legacy continues to inform even our most recent economies. As such, while brief mention is made of some modern economic historians, the primary focus is on the meaning of the *oikos* in ancient Greece and the ways in which the transformation of the meaning of the *oikos* continues to inform the meaning of the economy today.

In his history of economic thought, Joseph Schumpeter begins his discussion of ancient Greece with the following remark: “So far as we can tell, rudimentary economic analysis is a minor element—a very minor one—in the inheritance that has been left to us by our cultural ancestors, the Ancient Greeks.” He goes on to indicate that for the Greeks, “*Oeconomicus* (from *oikos*, house, and *nomos*, law or rule) meant only practical wisdom of household management.” The reason for this is that “the Greek philosopher was essentially a political philosopher.”

In the middle of the XVIIIth century, then, the term economics continued to bear the meaning it had in ancient Greece, but by the end of the century ‘political economy’ had come to refer to what we now associate with economics—the science of the wealth of nations. And, as Finley indicates, “there was no road from the ‘oeconomics’ of Francis Hutcheson to *The Wealth of Nations* of Adam Smith, published twenty-four years later.”

On a certain level, it seems quite anachronistic that commentators on ancient economics look to ancient authors in order to catch sight of economic analysis and are disappointed with the results. Schumpeter, for example, points out that while Plato and Aristotle did at times touch on economic issues, much of what they wrote is little more than common sense, and rarely reaches the stage of analysis.

The transformation of the term economics constitutes a fundamental event of the modern world. But this transformation leaves in its wake the very subject which for more than 2000 years was studied under the name 'economics.' The transformation is not a mere change of meaning; it is, rather, a drastic change in the way we demarcate human social space. However, this drastic change, on a conceptual level, is hardly modern. In fact, contra Schumpeter, this change can be traced back to Plato and Aristotle and even to the pre-Socratic philosophers.

Plato has the credit for giving attention on economic aspects of social organizations. Aristotle, another Greek philosopher, laid the foundation of economics as a science. As per Eric Roll, "Plato was first of a long line of reformers and his student Aristotle was the first analytical economist."

Economic Ideas of Plato

Introduction:

Plato was a Greek philosopher. He was born in Athens, capital city of Greece, in an aristocratic family. He was a pupil of Socrates. He used to teach Mathematics and Philosophy in the very first great school of philosophers “The Academia” which was founded by himself. The famous writings such as “The Republic” and “The Laws” by him are the most important sources of his thoughts of economics. Plato deserves the credit for giving attention to the economic aspects of social organizations. He regarded economics a branch of ethics and politics. Eric Roll stated that he attempted to offer a systematic exposition of the principles of society and of the origin of the state as well as a plan for the ideal social structure.

Plato has sometimes been called “The intellectual father of Political and Economic collectivism, and the totalitarian state.” From Plato, the blueprint for the absolute and comprehensive command and planned economy: “Wage and prices are set by the State; the guardians determine the allocation of the population in the system of division of labor by distributing each person to a particular occupation or task for life from an early age; all domestic and international trade and commerce is controlled and regulated by the State, as determined by the “proper needs” of the city-state; and what people may learn and share about other societies is strictly regulated by the State.”

Plato’s vision and “ideal” ended up serving as an inspiration and standard for much of the twentieth century under the name of the Total State in both its communist and fascist forms.

Characteristics of Plato's economic Ideas:

1. Origin of the State:

Plato traced the origin of the state to economic consideration. Plato stated that a state arose out of the needs of mankind. There was none who was self-sufficient. All of them had many wants. The state in order to supply the necessary commodities to satisfy human wants gathered together. For Plato, there exists a hierarchy of values: "The soul," "the body," and "wealth" – in that order. A guardian class with the right to own property would be tempted, therefore, to pursue the "lowest" rather than the "highest" of the ends of man – the pursuit of material wealth rather than the quest for "truth" and "virtue."

The partners and helpers of this gathering is called as the state. In Plato's ideal state, there were two classes.

(A) The Rulers &

(B) The Ruled.

The rulers were the king and the warriors. The ruled were the artisans and unskilled workers.

The members of the ruling class had to be set apart from early childhood and they should be educated in philosophy and the arts of war because they would have to protect the state against foreign attacks. At thirty, they would have to pass an exam. That exam selected the further philosopher king and those who couldn't pass were concerned with general administrative duties.

Plato distinguished five types of Government. They were:

- (i) Aristocracy-rule by the best;
- (ii) Timocracy-rule by the soldiers;
- (iii) Oligarchy-rule by a few;
- (iv) The rule of the wealthy and
- (v) Democracy.

2. Division of Labour:

Plato's main contribution was in his account of division of labour. By division of labour he simply meant the division of employment as an aid to social organization. He based the origin of state on division of Labour. According to Plato the essential needs of mankind were food, clothing and shelter.

Therefore, a city state had to include a builder, a weaver, a farmer and a shoe maker or similar type of person. Every individual should do the work that was

suitable for him. As a consequence, all commodities were produced in plenty, easily and of better quality.

The division of labour in different trades was thus recognized as a necessary condition to economic welfare even though division of each trade in different tasks wasn't conceived by him. Moreover, he didn't consider the necessity of a wider market for the principles' application.

Plato's division of Labour determined the market, advantages of that was beneficial to the entire society, showed difference in skill and talent; which is out and out different from that of Adam Smith's.

3. Size of the Population:

Plato also analyzed the problem of population. The size of population was assumed on the basis of the best results of division of Labour. He provided a careful regulation of population for maintaining the stability in the economy. Plato suggested the origin number of population for a state was 5040.

Only such a number provided the opportunity for everyone to be familiar with all other persons living in the state and help the economy to achieve self-sufficiency. The decrease of population in a state would cause offer prizes to encourage the growth of population. On the other hand, increase of that number might establish the new colonies by that population.

4. Money and Banking:

With few exceptions (Sparta being the most famous), the Greeks of the Classical period had a thoroughly monetized economy employing coinage whose value was based on precious metals, principally silver. The value of the coinage was commensurate to the value of the precious metal it contained with a small mark-up, since the value of the metal was guaranteed by its issuing state. The tie of the Greek monetary system to the supply of precious metals limited the ability of governments to influence their economies through the manipulation of their money supplies. However, we do know of cases when states debased their coinages for such purposes.

Ancient Greek coins are similar in appearance to modern ones. But like other manufactured products in ancient Greece, they were made by hand. A blank metal circular "flan" was placed on an obverse die that rested on an anvil and then was struck with a hammer bearing a reverse die. The nature of the process naturally produced coins in which the image was often poorly centered on the

flan. Nevertheless, the issuing authority, usually a government, was clear as the designs or “types” of the coins expressed an image symbolic of the issuing authority and were often augmented by a “legend” of letters that spelled out an abbreviation of the issuing authority’s name.

Coinage was issued in a variety of denominations and weight standards by various city-states. The chief weight standards of the Classical period were the Attic, Aeginetan, Euboic, and Corinthian. The basis of the Attic standard was the silver *tetradrachm* of 17.2 grams, which retained the design of the head of Athena on the obverse and her symbolic owl on the reverse throughout the Classical period. It was the most widely circulated coinage during this time and appears in large numbers of hoards found throughout the Greek world and beyond. This was due not only to the far reach of Athenian trade, but also to Athenian imperialism. Athens used its coinage to pay for its military operations abroad and even issued the “Standards Decree,” which for a few decades of the fifth century required the many cities of the Aegean Sea under its control to discontinue their local types and use only Athenian coinage. The local coinage had to be turned in, melted down, and re-struck as Athenian coinage for a fee. Unlike that of Athens, most city-states’ coinages circulated only locally. When such local issues were taken abroad, they were probably treated as bullion, as can be inferred from test-cuts often found on them.

5. Interest:

Plato prohibited interest for taking loans but later on, he permitted taking interest as a penalty for intentional delayed payment.

6. Trade:

Local trade between countryside and urban center and on the retail level within cities continued largely as it had in the Archaic period. But rather than producers transporting and selling their surplus goods directly in city markets, specialized retailers (*kapeloi*) who profited as middlemen between producers and consumers became more the norm. Local trade goods could be probably transported over short distances on land. But long-distance trade over land was difficult and time consuming, given the mountainous topography of Greece and the fact that the fragmented city-states of Greece never built an extensive system of paved roads that tied them together in the manner of the Roman Empire. Most “roads” between cities were single track and suitable only for pack animals, though there were some on which wheeled carts could be pulled by oxen, donkeys, or mules.

Long-distance trade was primarily done by merchant ships over the waters of the Aegean, Mediterranean, and Black Seas. Evidence from the Attic Orators indicates that during the Classical period overseas trade developed into a specialized and important sector of the economy. Trade was carried out by private individuals and not organized by the state. A typical trading venture involved a non-citizen trader (*emporos*) who either owned his own ship or rented space on a ship owned by another (*naukleros*). In most cases described by the orators, the traders typically borrowed money from a citizen lender to finance the venture. There is some dispute among scholars whether such loans constituted productive borrowing on the part of the traders or were just a type of insurance, because the loans would only have to be repaid if the ship and cargo reached their contracted destinations. From the perspective of the lenders, the loans were certainly productive, since they charged interest at a rate much higher than that which applied to loans on the security of land, anywhere from 12 to 30%.

Moreover, Athens was also motivated to encourage trade to obtain revenue from taxes. Both transient and resident foreigner traders had to pay poll taxes in Athens that citizens did not. Athens also had various port, transit, and market taxes that would benefit by increased trade, including a two percent tax on all imports and exports.

7. Agriculture:

Like the Hebrews, the Greeks too considered agriculture as the most desirable occupation. Greeks too gave emphasis on agricultural sector and just like Hebrews, they also used the lands to cultivate by the ruled ones.

One recent trend in the study of ancient Greek agriculture is the use of ethnoarchaeology, which attempts to understand the ancient economy through comparative data from better-documented modern peasant economies. In general, studies employing this method have supported the prevailing view of subsistence agriculture in ancient Greece. But caution is necessary, since there have been changes in the physical environment of and settlement patterns in Greece over time that can skew comparative analyses. Ethnoarchaeology has also been used to show that Greek farmers in both ancient and modern times have had to be flexible in their responses to wide variations in local topographical and climatic conditions and, thus, varied their crops and fallowing regimes to a significant degree. Rational exploitation of fluctuations in production brought on by such variations might have been the means by which some farmers were able

to obtain enough wealth to rise above their peers and become members of a landed elite and this might point to a productive mentality at odds with the Finley model.

Metals were another important landed resource of Greece and so mining occupied an important place in the economy. Ancient Greeks typically used bronze and iron tools and weapons. There is little evidence that copper, the principal metal in bronze, was ever mined in abundance on mainland Greece. It had to be imported from the island of Cyprus, where it existed in large quantities, and other more distant regions. Tin, the other metal in bronze, was also rare in Greece and had to be imported from as far away as Britain. Iron is relatively plentiful throughout Greece and there is archaeological evidence of iron mining; however, literary references to it are few and so we know little about the process.

Precious metals were used in jewelry, art, and coinage. Athens had an abundance of silver and we know much about its mining industry from surviving inscriptions of government mine leases to private entrepreneurs. The mines were extremely productive, providing Athens with an income of 200 *talents* per year for twelve years from 338 B.C. onward. One *talent* was the equivalent of around nine years' worth of wages for single skilled laborer working five days a week, 52 weeks a year, according to the wage rates we know from 377 B.C. Though productive in silver, ancient Greece was not as rich in gold, which was found primarily in Thrace and on the islands of Thasos and Siphnos.

8. Riches and Poverty:

Plato criticized riches and poverty. He believed that the riches or wealth made a man careless while poverty led to inefficiency. To him great wealth and happiness couldn't exist together because the wealthy people spent their wealth without any justification.

Plato had suggested an ideal wealth management system. Only farmers and artisans were allowed to get property while the rulers and the administrators weren't allowed to enjoy property rights. He realized the fact that the city was divided in two parts by the city of factor of civilization of the mankind. in "The Laws", he said that the poor and the city of rich. These two parts were always at war with each other.

Plato regarded slavery a permanent treatment of slaves should be liberal. War losing foreigners which were taken as prisoners should be made slaves. In his city state, the slaves formed about one-third of the population and they performed most of the economic functions.

9. Communism:

Plato's ideas regarding communism are extremely remarkable. Plato's communism is the most talked about and misunderstood part of his philosophy. In his ideal state, the property should be collectively owned. Plato advocated communism to eliminate the evils of caste system. But Plato's ideal state wasn't a communist one in the strict sense of the term.

Though the aim was abolishing the clash conflict, it wasn't to be achieved on the basis of equality of prizing of guardians and auxiliaries and the ruled called artisans. The members of the ruling class were to be well educated in arts of war and philosophy. According to Prof. Haney," Plato's communism didn't stand for an absolute mechanical equality but recognized authority and class distinctions."

For Plato, there exists a hierarchy of values: "The soul," "the body," and "wealth" – in that order. A guardian class with the right to own property would be tempted, therefore, to pursue the "lowest" rather than the "highest" of the ends of man – the pursuit of material wealth rather than the quest for "truth" and "virtue."

Thus, in Plato's ideal Republic, the guardians would renounce material ownership. The guardians would live together in a common barracks; they would share meals together; their clothes would be modest and similar. Women would be shared in common, and female guardians would have their children taken away shortly after birth to prevent a self-interested bonding with the child.

Plato's assumption is that the social environment – the political and economic institutions in which men live and work – determines their behavioral characteristics. Change the social and economic institutions – in this case, from private property to communal ownership and sharing – and you can change people from self-interested beings into other-oriented beings.

Plato's presumption is that if you deny people the ability and the right to acquire and possession private property and wealth, they will stop being concerned with their own personal interests and desires. Instead, they will only concern themselves and have as their goal the betterment of "all" who share in a common or communal property, and community.

10. Education:

Plato stated that both boys and girls should receive the same kind of education. In modern days, his ideas on education are more important than any other ideas on the same field.

11. Markets and Prices:

According to the Finley model, there was no network of interconnected markets to form a price-setting market economy in the ancient Greek world. Although this is true for the most part, like other aspects of the Finley model, the case is overstated. There do, for example, appear to be connections between markets for some commodities, such as grain and probably precious metals as well. In the case of grain, it can be shown that supply and demand over long-distances did have an impact on prices and traders sought to take advantage of the lag-time between price adjustments in order to make a profit. Obviously, though, this is nothing like the modern world in which the price of crude oil changes instantly worldwide in reaction to a change in supply from one of the major producers. For the most part in ancient Greece, prices were set in accordance with local conditions, personal relationships, and haggling.

Government price-fixing was limited. Although there is evidence that Athens, for example, fixed the retail price of bread in proportion to the wholesale price of grain, there is no evidence that it fixed the price of the latter. Even in times of severe grain shortages, Athens was content to allow traders bringing grain to Athens to charge the going rate. In such cases, the state alleviated the crises for its citizens by paying the going rate for the grain and then reselling it to its citizenry at a lower price.

Despite the general absence of interconnected markets, however, there were market places. Each city-state had at least one market place (*agora*) in the heart of city and a port market (*emporion*) as well, if it had a good harbor.

The *agora* was a place of much activity, serving not only as a center of economic exchange, but also as a political, religious, and social center. In the *agora* one could find law courts, offices for public officials, and coin mints as well as shrines and temples. In fact, *agorai* were considered sacred places to the degree that they were marked off with boundary stones across which no one who had the stain of religious pollution could cross. Within the *agora* economic activities were segregated by types of goods, services, and labor so that there were specific places where one could regularly find the fishmongers, blacksmiths, money changers, and so on.

Conclusion:

Plato's contributions made definite progress in economic thinking of his time. His economic ideas show that he was essentially a child of his time. He recognized division of Labour and it was adopted as a mean of easier and better production.

However, he didn't recognize acquired skill, elimination of waste etc. as later economists was to admit its merits. Plato was a man of peace. He was the first thirteen who made economics a handmaid of ethics. At best, we could consider Plato not as an economist but only as a social reformer.

Economic Ideas of Aristotle

Introduction:

Aristotle was the first analytical economist who laid the foundation of the science of economics. He was the student of Plato and tutor to Alexander the great. He didn't produce any economic treatise. Anyhow it was from him, the writers of Middle Ages got their main ideas. Though there is no continual analysis, his scattered ideas specifically private property, usury and the just price concepts had a greater influence on subsequent economic thought.

Even though, Aristotle was the student of Plato, he differed from him on serious issues like the origin of the state, private property, communism etc.

Plato was a deductive thinker; Aristotle followed the inductive one and therefore a more practical one while Plato was a radical thinker; Aristotle was conservative one. The reasoning of Aristotle was found in "Politics" and "Ethics".

Aristotle's Insights and Limitations of Economics:

In Aristotle, we find a more subtle and sophisticated understanding of some economic themes than in Plato. Aristotle adds a "behavioral" dimension to the analysis of property that asks what are the alternative incentives and responses by human agents when they live under different institutional arrangements within which they have the opportunity to act? That is, how will men act, respond and choose, in both their production and consumption decisions, if they are or are not permitted to own and dispose of private property?

We also find the rudiments of a discussion of the meaning and nature of exchange: What is the source of value, or the basis of the relative prices among goods? What is an appropriate "balance" in the relationships of exchange? While Aristotle's answers were incomplete and often misdirected, as well as incorrect, he at least was among the first to ask the types of questions that centuries later became part of the heart of economic analysis and understanding.

His fundamental weaknesses were: A failure to explain the actual basis of value in exchange; a misunderstanding of the nature of money transactions in the market place through the intermediation of the professional merchant or “middleman”; and a confused analysis of the role and logic of lending, borrowing, and the paying of interest.

Characteristics of Aristotle’s economic ideas:

1. Idea of State:

According to Aristotle, the state originated out of the needs of mankind. He explained the origin of the state in terms of household. The household was an associated formed to satisfy the wants of the family members. The village grew out of a number of household and finally the state came into existence.

Man is by nature a social animal. So, the state is possible because all men live together in a society. The aim of the state is promoting good life. Thus, Aristotle attributed the origin of the state to economic and political causes.

2. Private Property:

While Plato advocated public property Aristotle supported the institution of private property. Aristotle argued that public property would not be looked after as carefully as private property. To him private property was superior to public property on five grounds—progress, peace, practice, pleasure and philanthropy.

Private property is more productive than public property. The principle “what is everybody’s business is nobody’s business can be applied here. Hence, Aristotle said that property should be private. When there is private property, they will make much progress because everyone will be attending to his own business.

Communism is not conducive to social peace. Quarrels are bound to develop when the principle of equal wages for equal work is not followed. Under public property there is the possibility of someone doing more work but getting small

reward. The practical experience shows that private property is good than public property. Private property enables people to be sympathetic.

The institution of private property will promote good conduct among the citizens. If a man has property, he can have a part of it for himself and share the rest with his friends. Further, Aristotle was against the imposition of ceiling on private property. Rather he pleaded for checking the growth of population.

If population is not checked, it will result in poverty which is the root cause of revolution and crime. Aristotle wanted the owners of private property to accept public responsibility. The property owners must act as trustees of the society. A similar idea was given by Gandhiji.

3. Scope of Economics:

The word economics has a Greek origin and the originated word is Oikonomics which resembles the meaning “management of the household”. Aristotle developed the theory of economics while discussing about the elements mattered in household management. There were two elements named by Economics and Chrematistics. Economics concerned with the art of consumption of wealth for satisfying the wants. On the other hand, Chrematistics concerned about the art of wealth acquiring by making money or exchange.

Aristotle spoke two types of exchange – Natural and Unnatural. Natural form of exchange satisfies the human wants. The unnatural form of exchange aims at instant or momentary or short time gains. The first type is of using economy properly and the second type is value-in-exchange, which were popularized by Adam Smith later. Barter is also a natural branch of chrematistics.

4. Money:

Aristotle found the money as common measure of every transaction, makes things commensurable and makes it possible to equalize transaction in the form of money, he said, “A substance has a telos, a purpose, and that in creating money individuals have devised a unit of measure on whose basis fair and just

exchange can take place. Aristotle thus maintained that everything can be expressed in the universal equivalent of money, and argued that money was introduced to satisfy the requirement that all items exchanged must be comparable in some way.

Within such a framework, Aristotle defined the characteristics of a good form of money – which must be:

- Durable: Money must stand the test of time and the elements. It mustn't fade, corrode, or change through time;
- Portable: Good money needs to hold a high amount of "worth" relative to its weight and size;
- Divisible: Money should be relatively easy to separate and re-combine without affecting its fundamental characteristics. An extension of this idea is that the item should be "fungible", defined as "being freely exchangeable or replaceable, in whole or in part, for another of like nature or kind."
- Intrinsically Valuable: This value of money should be independent of any other object and contained in the money itself, starting with rarity.

5. Interest:

According to Aristotle, interest taking was the most unnatural among all the methods of collecting wealth, stated by Schumpeter. As one piece of money can't produce another, interest was unjust. In those days, money used to be borrowed by the poor persons for consumption purposes. Therefore, interest taking was considered unjust.

6. Slavery:

Aristotle's views regarding division of labour, population, slavery, inheritance was also similar compared to that of Plato. He divided slaves in two categories- natural and legal. The natural slaves were inferior in both body and mind to legal slaves. Legal slaves were those who conquered in war.

7.Monopoly:

Aristotle defined monopoly as a position in the market where there should be only one seller. Just like interest, he had condemned monopoly as unjust in society in economic perspective.

Virtuous Economics Vs Unnatural Wealth-Getting:

Wealth, therefore, in Aristotle's view, is a legitimate subject for study as an essential means to the proper ends of man. Thus, we find in Aristotle a subject matter called Oikonomics, or "household management." The concern is with the wise stewardship of the landowner's or property owner's material wealth so as to not squander it or misuse it in the pursuit of man's "higher" human ends. Household management in this context meant more than an economical use of land, tools and other means of production. It also carried the meaning of a wise management of the property owner's family – his wife, children, and slaves. This was in contrast to another category of behavior towards wealth, which the Greeks called chrematistic. Chrematistics was concerned with wealth getting, including moneymaking and exchange. Aristotle condemned many merchants and traders in Greek society as corrupted followers of wealth for the wealth, itself.

Aristotle classified "Economics," or "household-management," as a "natural" pursuit in that it is conduct proper and essential to human existence and the fulfillment of man's nature in developing his inherent potential for "good" as a human being. It incorporates both the production and consumption of wealth in attaining those "higher" ends. Chrematistics, on the other hand, has the potential to be either "natural" or "artificial."

By "natural," Aristotle meant wealth-getting activity that is clearly and consciously pursued as a means to the ends of "truth" and "virtue." The problem with wealth getting, according to Aristotle, is that it can become an end in itself, that is, wealth acquisition becoming the goal rather than something subservient to a higher purpose.

Barter exchange is considered "natural" by him because it is a means by which individuals obtain those material goods essential to life, man's "natural wants," as Aristotle calls them. "Natural" chrematistics, including money exchange, is proper

if it is a means to acquiring the things needed for the goal of the “higher” ends. But chrematistics becomes “artificial” or “unnatural” when money-acquisition and money-exchange, and its pursuit are the end goals that drive the actions of a person.

Aristotle’s Judgement on Just Price:

One of the themes in Aristotle’s writings on economics was the idea of a “just price.” Aristotle talked about appropriate “reciprocity” in any exchange for it to involve an “equality” of values traded, and, therefore, to reflect “justice” in trade. Aristotle spoke of equal values traded when they are exchanged in the proper proportions.

Aristotle defined proper proportion as such, “As a builder then is to a cobbler, so may the shoes be to a house,” If a builder is “A,” and a shoemaker is “B,” and if “C” is a house and a pair of shoes is “D,” and if the two individuals wish to exchange to acquire what the other can provide, then proportionate returns will be secured by reciprocal actions, and when goods are traded in the correct proportions:

$$A:B = C:D$$

The left side of the equation is the “proper” or “correct” relationship between a builder and a shoemaker, and by what standard could this be determined? The answer to this has eluded philosophers for hundreds of years.

And what is the proper, or “just,” ratio of so many pairs of shoes traded for one house? Aristotle stated: “In the truest and most real sense this standard [i.e., the basis of the value of commodities one for the other] lies in wants, which is the basis of all association of men.”

This suggests the importance of the usefulness or “utility” of goods as guiding the determination of the relative values of goods. But Aristotle gives no answer about how a ratio of the value of wants might be calculated. Thus, he offers us no logically convincing or practically applicable conception of the value of goods or the “just” ratio at which they should trade.

Aristotle's criticism of Plato's Communism:

Aristotle discussed the constitution of ideal state. He criticized the plans of Plato and gave his own thought.

Aristotle's attack on the community of property is almost entirely based on the incentive Augment, communal property won't be taken as private property, not the abolition of private property, but a more enlightened and liberal use of it is required.

Aristotle was prepared to admit his occupation to a limited extent into his ideal city, which lacks Plato's imagination. Aristotle regarded trade as an unnatural occupation, he justified it by appealing to the fact that some people were slaves by nature.

In his part of controversy about the ideal state is the least important of Aristotle's contributions to early economic thought. His analytical ideas can be summarized under three headings:

1. The definition of scope of economics;
2. The analysis of exchange;
3. The theory of money.

According to Aristotle, economy is divided into two parts: Economy Proper which was the science of household management & the science of supply which was concerned with the art of acquisition.

Again, Aristotle distinguishes between a natural and unnatural form of exchange. The natural- merely an extension of the economy of the household designed. It arises from the existence of varying stocks of goods and the enlargement of the association of the men beyond the confines of the household. It is from the simple form of exchange that a more complicated and unnatural practice arises.

Aristotle laid the foundation of the distinction between use value and exchange value. Although his words are obscure, he tried to say that the secondary value of an article- as a means of exchange- isn't necessarily "unnatural." Men may exchange without being engaged in the unnatural form of supply, the art of money making.

Thus, Aristotle carries a little further Plato's definition of money as a symbol for the sake of exchange. He shows how the inconvenience of barter lead to the development of indirect exchange. The natural purpose of exchange, the more abundant satisfaction of wants, the accumulation of money becomes an end itself. Money is intended to be used in exchange, but not to increase an interest, it is by nature barren, though usury it breeds and this must be the most unnatural of all ways of money making.

In his discussion of the quality of money Aristotle concluded that money has a conventional rather than a natural origin.

Aristotle's appreciation of real quantity of money exchange is revealed even more by the attention which he gave to determination. Aristotle realizes that exchange is based on equivalence. He regarded exchange as ultimately based on wants, but he considered at the same time that "proportionate equality" prior to exchange is essential. He thus appears on the side of those who regard exchange value as existing apart from price and prior to any particular act of exchange. He however developed a theory of the factors determining that exchange value. He said that although goods which are exchanged are essentially incommensurable, they must somehow be comparable in order to be exchanged. Aristotle recognizes that "money is serviceable with a view to future exchanges, but also that its value, like that of other things, is subject to change."

Lastly, In Aristotle, we see Aristotle's view of society is similar to Plato's. For example, Aristotle ascribes the evils of property not to that institution of itself, but to the vicious manner in which men administer it. In his analysis of the principles, of a society, in transition from agriculture self-sufficiency to trade and commerce he remained unsurpassed for centuries. He remained also the chief source of inspiration of all these who wish to affect a worthy compromise between the baser and the higher pursuits of man.

Conclusion:

It was Aristotle who laid the foundation of the science of Economics. He maybe rightly called as the first analytical economist. He adopted inductive method to explain the origin and growth of the city state. Even today, his ideas on property

rights are valid. In the field of exchange too, he laid the foundation for the distinction between value-in-use and value-in-exchange.

Moreover, the best part of his economic thought is his treatment of money. As a whole Aristotle's contribution on economic thought's development was more important. His ideas developed in his "Ethics" applied greater influence among Middle Ages writers.

→ let's see some similarities and differences between the economic ideas of Hebrews & Greeks.

Similarities:

There may be hardly any kind of similarities between two very different ideological economic era because the timeline was different, language was different. Still, they have a very few numbers of similarities such as-

1. In both eras, Agriculture was the main occupation.
2. in both eras, for buying there was a concept of money.
3. In both eras, Interest taking was deliberately discouraged.
4. In both eras, Slavery wasn't a respectful job to do.
5. In both eras, the poor people were given slight advantage for the development of the society.

Differences:

Economic ideas of Hebrews	Economic Ideas of Greeks
1. Hebrews gave the first economic idea. 2. Hebrew's idea was based on simple philosophy and Bible (Old Testament). 3. Hebrew era was around 2500 B.C. 4. In this time, people used toll tax. 5. Property was used on the basis of inheritance. 6. The population size wasn't a matter of concern.	1. Greeks gave the first developed economic idea. 2. Greek's idea was based on developed philosophy and New Testament. 3. Greek era was around 500 B.C. 4. in this time, tax wasn't mentioned anywhere. 5. Property was used both publicly and privately. 6. The population size had to be exact 5040.
7. Money was used on the basis of bullion (Silver and Gold). 8. There had a rest day after six days of work named Sabbath. 9. Monopoly was regarded prohibited. 10. There was scattered idea about state in this era. 11. Lending of money at interest to strangers were allowed. 12. Slaves were regarded as wealth.	7. Money was used on the basis of domestic coin and metal. 8. There hadn't such day. 9. Monopoly was regarded unjust. 10. There was a solid idea about state in this era with two classes-Ruler and Ruled. 11. Interest was allowed for delayed payment as penalty but not for the poor. 12. Foreigners defeated at war were regarded as slaves.

